

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester V Examination, 2013-14

Paper No. BCH-311: Advanced Company Accounts

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.**

The summarized Balance Sheets as on 31st March, 2013 of ABC Ltd. and XYZ Ltd. are as follows: [14]

Liabilities	ABC Ltd. (Rs.)	XYZ Ltd. (Rs.)	Assets	ABC Ltd. (Rs.)
Share Capital (Rs. 100 each)	15,00,000	5,00,000	Goodwill	—
Capital Reserve	—	50,000	Building	6,00,000
General Reserve	2,00,000	60,000	Plant & Machinery	6,50,000
Profit & Loss A/c	1,20,000	—	Furniture	10,000
Sundry Creditors	2,40,000	3,95,000	Stock	3,80,000
			Debtors	2,30,000
			Cash & Bank	1,90,000
			New Project Exp.	—
Total	20,60,000	10,05,000	Total	20,60,000

XYZ Ltd. was amalgamated by ABC Ltd. on 1st April, 2013 on the following terms:

- Fixed assets other than goodwill were valued at Rs. 5,00,000 including Rs. 6,000 for furniture.
- Stock to be reduced by Rs. 20,000 and debtors by 5%.
- ABC Ltd. assumed the liabilities of XYZ Ltd.
- The new projects to be valued at Rs. 95,000.
- The shareholders of XYZ Ltd. to receive cash payment of Rs. 30 per share plus 4 equity shares of ABC Ltd. for every five shares held.
- XYZ Ltd. to pay the liquidation expenses of ABC Ltd. (or XYZ Ltd.) amounting to Rs. 6,000.

Pass the necessary journal entries in the books of XYZ Ltd. and prepare the Balance Sheet of ABC Ltd. after amalgamation.

OR

What is amalgamation of Companies? Discuss the important journal entries to be passed in the books of transferor and transferee. [14]

Question 2.

The following is the Balance Sheet of PQR Ltd. as on 31st March, 2013:

[14]

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
1,00,000 Equity shares of Rs. 10 each	10,00,000	Land	1,00,000
Sundry Creditors	1,73,000	Plant and Machinery	2,30,000
		Furniture & Fittings	68,000
		Stock	1,50,000
		Debtors	70,000
		Cash at Bank	5,000
		Profit & Loss A/c	5,50,000
Total	11,73,000	Total	11,73,000

The terms of the approved scheme of Reconstruction are as follows:

- (i) The equity shares to be reduced to Rs. 4 per share.
- (ii) Plant and machinery to be written down to Rs. 1,50,000.
- (iii) Stock to be revalued at Rs. 1,40,000.
- (iv) Provision for Bad debts to be made for Rs. 2,000.
- (v) Land to be revalued at Rs. 1,42,000.

Show the necessary journal entries for internal reconstruction and prepare the reconstructed Balance Sheet.

OR

Define and explain the following terms in the context of holding companies:

[14]

- (i) Subsidiary Company
- (ii) Holding Company
- (iii) Minority interest
- (iv) Consolidated Balance Sheet

Question 3.

Prepare a Consolidated Balance Sheet of X Ltd. and its subsidiary Y Ltd. from the following Balance Sheets as on 31st March, 2013: [14]

Liabilities	X Ltd. (Rs.)	Y Ltd. (Rs.)	Assets	X Ltd. (Rs.)	Y Ltd. (Rs.)
Share Capital (Rs. 10 each)	25,00,000	6,00,000	Land & Building	6,40,000	2,00,000
General Reserve	3,50,000	1,20,000	Plant & Machinery	12,60,000	3,40,000
Profit & Loss A/c	2,50,000	1,80,000	Furniture & Fittings	1,40,000	60,000
Sundry Creditors	3,50,000	1,00,000	Investment in Y Ltd. (40,000 shares)	5,00,000	
			Stock	4,10,000	2,50,000
			Debtors	3,80,000	1,00,000
			Cash and Bank	1,20,000	50,000
Total	34,50,000	10,00,000	Total	34,50,000	10,00,000

On the date of acquisition by X Ltd. of its holding of 40,000 shares in Y Ltd., Y Ltd. had undistributed profit and reserves amounting to Rs. 1,00,000.

OR

What do you mean by liquidation of companies? Prepare a liquidator's final statement of Account with imaginary figures. [14]

Question 4.

The following is the Balance Sheet of RST Ltd. as on 1st April, 2013:

[14]

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
24,000 Equity shares of Rs. 10 each	2,40,000	Machinery	90,000
Debentures	1,50,000	Leasehold Property	1,20,000
Bank overdraft	54,000	Stock	3,000
Creditors	60,000	Debtors	1,50,000
		Investment	18,000
		Cash	3,000
		Profit & Loss A/c	1,20,000
Total	5,04,000	Total	5,04,000

RST Ltd. went into voluntary liquidation on the Balance Sheet date. The assets were realized as follows:

Machinery	Rs. 1,80,000
Leasehold Property	Rs. 2,18,000
Investment	Rs. 12,000
Stock	Rs. 6,000
Debtors	Rs. 1,40,000

The bank overdraft is secured by the deposit of the documents of leasehold property. Preferential creditors amounted to Rs. 3,000, which were not included in creditors of Rs. 60,000. Prepare the Statement of Affairs or Liquidator's Final Statement of Account.

OR

What is meant by Bonus Share? State the accounting treatment of Bonus Shares issue. [14]

Question 5.

Write short notes on the following:

[7+7]

- (i) Employee stock option Scheme
- (ii) Buy-Back of Shares

OR

What is valuation of goodwill? Explain the various methods of valuation of goodwill of a company. [14]